

Cummins FP&A Forecast: Project Brief

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A driver-based forecast of Cummins' sales and profit for Q3 and full-year 2026, built from the company's own segment guidance, reviewed, and locked as version 1.1 on October 8, 2026, before the November results.

What the forecast is

The forecast answers one question a corporate finance team asks every quarter: where will sales and profit land, and why? It covers Cummins' five business segments, from truck engines to data center generators, for Q3 and Q4 2026.

Measure	Q3 2026 budget	FY2026 budget	Cummins' guidance	Analyst consensus
Net sales	\$9.48B, up 14.0%	\$37.3B, up 10.8%	Up 10% to 13%	Q3 \$9.84B; FY \$37.6B
Adjusted EBITDA margin	18.6%	18.2%	18.0% to 18.5%	About 19.5% implied for Q3
Earnings per share	\$7.53	Not modeled	Not given	Q3 \$8.40

Every segment's full-year number sits inside the range Cummins gave on August 4, 2026. The company total is an output of those segment drivers, not a target. The budget sits below Wall Street on purpose, and the insights doc explains why. When the real results come out in early November, the model measures the gap and explains it.

Why it is useful

For a finance team at Cummins, this is the core monthly and quarterly workflow:

- It turns market trends into numbers: truck demand and data center orders become segment sales and profit.
- It shows which assumption matters most, so leaders know where to focus.
- It tests whether the company's public guidance is achievable from the bottom up.

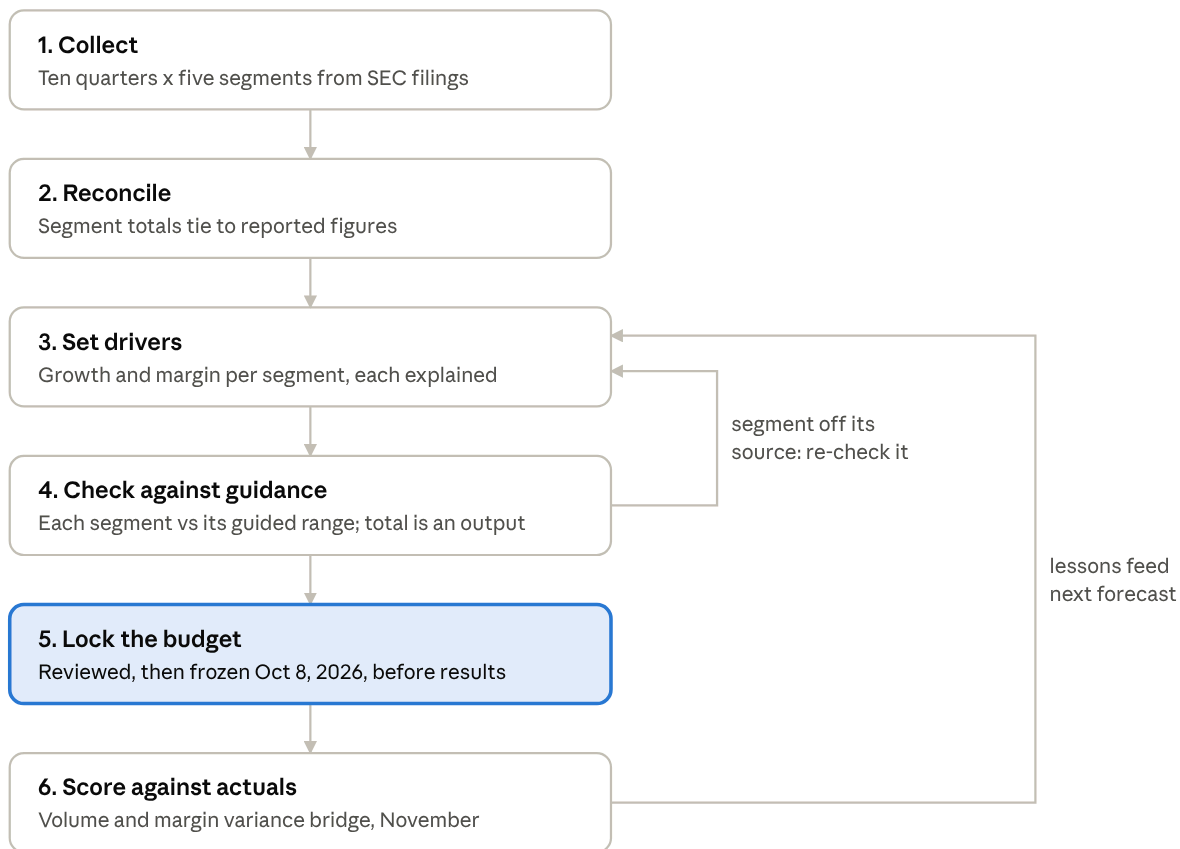
- After the quarter, it explains each miss or beat as volume, price or cost, which is what a CFO asks for.

For an employer reviewing this project, it is proof of real FP&A work rather than a classroom exercise. The budget was locked before the answer was known, its own accuracy was backtested, and it was benchmarked against both company guidance and Wall Street. Within 48 hours of the November results, a variance memo will explain any miss. A non-finance reader can use the dashboard without help.

Method at a glance

The budget is locked before results, then scored against them

Six steps from public filings to a graded forecast



forecast process · 6 steps, 2 feedback loops

The two loops are what make it a working forecast. A segment that lands outside its guided range sends you back to check that driver's source; the company total is never tuned to fit. Each quarter's variance then improves the next forecast.

How it was built and checked

1. **Collected the data.** Pulled ten quarters of segment sales (Q1 2024 to Q2 2026) and six quarters of EBITDA from Cummins' SEC earnings releases.
 - Check: every quarter's segment totals tie to reported net sales and EBITDA, with a difference of exactly zero.
2. **Separated one-off charges.** Added back \$657M of Accelera charges (goodwill impairment, electrolyzer exit, fuel cell sale) so underlying trends are visible.
 - Check: adjusted margins match Cummins' own "EBITDA excluding special items".
3. **Anchored the drivers to the company's own segment guidance.** Each segment's growth and margin comes from the ranges management gave on August 4, 2026. Engine sales are built from units times price, the way a manufacturer plans.
 - Check: each segment's full-year growth and margin sit inside its guided range. Every driver cites a dated source.
4. **Let the company total be an output.** Full-year sales (+10.8%) and margin (18.2%) are whatever the segments add up to, then compared with the company-level guidance.
5. **Ran four checks.**
 - Seasonality: each quarter's change from the prior quarter, compared with 2024 and 2025.
 - Consensus: revenue and EPS compared with 14 to 18 analysts' estimates.
 - Accuracy: the method was backtested on Q3 and Q4 2025.
 - EPS bridge: ties to Q2 2026 reported EPS of \$6.73, to the cent.
6. **Locked the budget.** Version 1.1 was frozen on October 8, 2026, before the results date. The Change Log tab records every change from version 1.0.
7. **Built the variance bridge.** When actuals are entered, each segment's profit gap splits into volume and margin effects, and Engine sales split into units versus price.
 - Check: tested with sample actuals; the effects add back exactly to the total gap.
8. **Made it readable.** A colour-coded dashboard, a plain-English glossary and a bear/base/bull scenario picker. The scenarios are sized from the backtest misses and never change the locked budget.

The workbook follows standard financial-model conventions: blue inputs, black formulas, no hardcoded results, and zero formula errors across 841 formulas.

How the forecast was reviewed

Version 1.0 was stress-tested before locking. Five independent critics reviewed it, each from a different angle, then critiqued each other's fixes. The model was also backtested against public data. Seven problems were found and fixed in version 1.1.

Problem found	Evidence	Fix in v1.1
Margins were nudged until the total landed inside guidance	v1.0 build history	Segments anchored to the Aug 4 guidance; the total is now an output
Power Systems margin above its guided range (26.1% vs 25.0% to 25.75%)	Q2 2026 earnings call	Second-half margin 24.0% to 24.2%; full year 25.4%
Engine margin below its range (12.3% vs 12.5% to 13.25%)	Q2 2026 earnings call	Second-half margin 13.6% to 14.6%; full year 12.9%
Distribution cited a guidance range that had been lowered	Q2 2026 earnings call	Updated to 13.5% to 14.25%
Accelera sales of \$523M vs a \$350M to \$400M guide	Q2 2026 earnings call	About \$65M a quarter; full year \$377M
"Pre-buy may hurt 2027" contradicted the latest data	Management; FTR; 2027 consensus +8.6%	Insight rewritten around the ~\$200M 2027 bonus reset
No check against Wall Street or past accuracy	Yahoo Finance consensus; backtest	Consensus, seasonality and accuracy checks added

The backtest showed this kind of trend-based forecast has missed a single segment by up to 7.6%, and the total by up to 2.3%. Those figures now set the error band and the size of the bear and bull scenarios.

Skills it demonstrates

Skill	Where it shows in the model	Roles it maps to
Reading SEC filings	Historicals tab: ten quarters by segment, sourced to 8-K releases	FP&A, equity research, credit

Skill	Where it shows in the model	Roles it maps to
Data reconciliation	Check rows that tie every quarter to reported totals; EPS bridge ties to reported EPS	Accounting, FP&A, audit
Driver-based forecasting	Inputs and Forecast tabs: units, price, growth and margin by segment	FP&A, rotational programs
Using management guidance	Every driver sourced to the Aug 4, 2026 segment guidance; Check 1	FP&A, investor relations, equity research
Benchmarking to Wall Street	Check 3: revenue and EPS vs consensus; Street-implied margin	Asset management, equity research
Backtesting and model validation	Backtest tab; seasonality check; error bands	FP&A, risk, quant
Variance analysis	Volume vs margin bridge; Engine units vs price split	FP&A, controllership
Scenario analysis	Bear, base, bull and custom cases sized from real past misses	FP&A, corporate development, treasury
Self-review and version control	Change Log tab: v1.0 to v1.1, with reasons	All finance roles
Communicating to non-experts	Dashboard, glossary, insights memo	Client-facing and leadership roles

Sources

- [Cummins Q2 2026 earnings release, 8-K Exhibit 99 \(August 4, 2026\)](#)
- [Cummins Q2 2026 earnings call transcript \(segment guidance\)](#)
- [Cummins Q4 and full-year 2025 earnings release, 8-K Exhibit 99 \(February 5, 2026\)](#)
- [Cummins Q3 2025 earnings release, 8-K Exhibit 99 \(November 6, 2025\)](#)
- [Yahoo Finance: Cummins analyst estimates \(accessed October 8, 2026\)](#)
- [Transport Topics: September 2026 Class 8 orders and EPA 2027 pre-buy](#)